DRAGON MINING SYNDICATE (PRIVATE) LIMITED
versus
CRG QUARRIES (PRIVATE) LIMITED

HIGH COURT OF ZIMBABWE
MUSITHU J
HARARE, 12, 13, 14, May 2025 & 19 June 2025 & 17 July 2025 & 9 March 2026

Civil Trial-Damages arising from mining dispute

Mr *T. Zhuwarara*, for the plaintiff
Mr *T. Magwaliba*, for the defendant

MUSITHU J:

1. Before the court is a mining dispute in which the plaintiff claimed that some 503 granite blocks were unlawfully extracted from its mining claims by the defendant. The plaintiff petitioned the court to declare its ownership rights in those blocks. The plaintiff also claimed that the defendant be ordered to return some 40 granite blocks that were unlawfully removed from its mining claims. In the alternative, the plaintiff claimed payment of the sum of US$159 600.00, being the alleged value of the blocks which were unlawfully removed from its mining claims by the defendant. The plaintiff also claimed an order for costs of suit against the defendant.

2. On its part, the defendant denied extracting the disputed granite blocks from the plaintiff's mining claims, insisting that these were mined from its own claims. To assert its own rights to the disputed granite blocks, the defendant filed a counterclaim in which it asserted that it extracted the granite blocks from its own mining claims namely CRG 7, MG 28 and MG 25. The defendant further claimed that it used Mutoko Gold 33 and a portion of CRG 7 as central storage for the blocks mined from the other claims. Consequently, the defendant also sought an order that it be declared the owner of the 503 granite blocks. Alternatively, it sought an order directing the plaintiff to pay its production costs if the court found in favour of the plaintiff.

Background to the plaintiff's claim

3. The plaintiff is the owner of three mining claims which were described in the pleadings as follows:

a) Mutoko Gold 32 (registration number 40675BM);
b) Mutoko Gold 29 (registration number 40520BM); and
c) Mutoko Gold (registration number 37016BM).

4. The plaintiff claimed that in 2021, the defendant with prior knowledge of these existing claims proceeded to over peg, mine and extract granite blocks from the plaintiff's claims Mutoko Gold 32 and Mutoko Gold 29. The defendant also extracted granite blocks from the third claim, Mutoko Gold and exhausted the claim. In a determination dated 3 March 2023, the Ministry of Mines and Mining Development (the Ministry) confirmed that the defendant's mining claims number **CRG 7 (registration number 1313BM)** and **Mutoko Gold 33 (registration number ME 166 BM)** over pegged on the plaintiff's claims Mutoko Gold 32 and Mutoko Gold 29.

5. It was for the foregoing reasons that the plaintiff averred that the defendant was not entitled to the 503 granite blocks that had been extracted from the plaintiff's claims. It was also for that reason that the plaintiff demanded the return of the **40 granite blocks** that were removed from the three mining claims, or alternatively payment of the sum of US$159,600.00 being their market value.

The Defendant's Plea

6. The defendant averred that in 2016, it acquired a prospecting licence under which it prospected, discovered and pegged a certain ground in the Mutoko Mining District for black granite. That ground was open and vacant. Thereafter, the defendant applied to the Provincial Mining Director, Mashonaland East Province (the PMD), for a certificate of registration of the block for black granite.

7. Around 23 November 2016, officials from the Ministry carried out a pre-registration verification exercise and determined that the application for registration be approved as the ground was open for inspection. On 25 November 2016, a registration certificate was issued

under registration number ME166BM in the name of **Mutoko Gold 33**. That certificate is extant.

8. In August 2021, officials from the Ministry carried out a pre-registration verification exercise and certified that the ground that had been pegged was open to pegging and approved the registration of the **27.7 HA** of black granite. Around 11 August 2021, the registration of the defendant's claim known as **CRG 7** with registration number **1313BM (CRG 7**), was approved and a certificate of registration was issued to the defendant.

9. At all material times, the defendant was unaware of any existing registered claims and complied with the law in acquiring its mining titles after officials from the Ministry had satisfied themselves that the ground was open to pegging.

10. Having complied with all legal requirements pertaining to the commencement of mining operations, the defendant started mining operations on a section of its registered mining location CRG 7 in December 2022. The defendant denied that it exhausted the plaintiff's claim called Mutoko Gold as alleged.

11. The defendant further averred that at all material times, it carried out mining operations on its registered claim CRG 7. It was unaware of the alleged over-pegging of its mining location CRG 7 over a portion of Mutoko Gold 29 or other claims registered in the plaintiff's name.

12. While admitting that the PMD made a determination as alleged by the plaintiff, that determination was the subject of an appeal to the Minister of Mines and Mineral Development (the Minister), in terms of s50 of the Act. Further, from the PMD's determination, only a portion of the plaintiff's claim Mutoko Gold was over pegged and not the entire claim. No mining activities were conducted in the defendant's mining claim **Mutoko Gold 33**.

13. The defendant denied that 503 blocks were unlawfully mined from the plaintiff's claim as alleged. It averred that the blocks referred to by the plaintiff were a mixture of blocks produced by the defendant from its other surrounding claims and those mined in CRG 7. These were stored in the mining **locations Mutoko Gold 33 and CRG 7**. No blocks were mined in Mutoko Gold 33, and all blocks located in this mining location were mined from

the defendant's other claims and stored there. Only 68 were mined in CRG 7, and these should be the subject of any dispute between the parties.

14. The defendant further averred the plaintiff had no valid claim to any blocks mined from the defendant's other claims which were ferried and deposited in the disputed area for storage prior to the defendant becoming aware of any claim to the disputed area. The defendant further denied forcibly removing 40 blocks as alleged and averred that it mined all the blocks during the relevant period and lawfully sold them. It further averred that all the blocks still to be collected are its sole and exclusive property which it was entitled to remove without interference from the plaintiff.

15. The defendant submitted that it was the lawful owner of the 503 granite blocks, which it mined and won at its sole cost and expense. The plaintiff would be unjustly enriched at the defendant's expense if the court ordered that the plaintiff recover the said blocks without paying for the costs of winning the blocks. The reasonable cost of winning the blocks was US$550/M^3. The plaintiff had not tendered the costs incurred by the plaintiff in mining and winning the blocks from their natural environment.

The Defendant's Claim in Reconvention

16. Part of the background to the claim is as set out in the defendant's plea. The defendant claimed that it commenced mining operations at **CRG 7** in December 2022 and stored the granite blocks won from this claim and other claims it owned such as **MG 28** and **MG 25**. In February 2023, a complaint of encroachment was raised with the PMD and upon being notified of the complaint, the defendant ceased all mining activities. At the time that mining activities were ceased in **CRG 7**, the total production in the area was **68**.

17. The defendant also used Mutoko Gold 33 and a portion of CRG 7 as central storage for its material mined from its surrounding claims. As of the date that the plaintiff made a complaint to the PMD, a total of **536 blocks** of varying sizes had been stored in the area. These blocks were part of the **503** blocks still in the area.

18. The defendant incurred costs and expenses in mining the blocks won in CRG 7 and other areas at the rate of US$550/M^3. As the owner, the defendant had removed **33 blocks** that had already been sold before the dispute arose. The plaintiff had no claim to the **503 blocks** for the following reasons:

a) 468 blocks were mined and won by the defendant from the defendant's other mining locations outside of the disputed area.

b) The remaining blocks were mined by the defendant in the legitimate pursuit of its rights in terms of its registered mining title and without any knowledge of any prior claim or right of the plaintiff.

19. In the alternative, if the court made a finding that any of the blocks claimed belonged to the plaintiff, the defendant further pleaded that:

a) The blocks were mined and won at the sole cost and expense of the defendant to the exclusion of the plaintiff.

b) The cost of mining was US$550.00/$M^3$.

20. At the time that the defendant incurred the cost and expense of mining the blocks, it held valid title to the mining location and was unaware of any claim to the area by any party. The plaintiff would be unjustly enriched if awarded the blocks or any lesser number thereof without first paying the defendant for the costs incurred in mining and winning the blocks.

21. For the foregoing reasons, the defendant therefore prayed for judgment against the plaintiff as follows:

a) An order declaring the defendant as the owner of the 503 granite blocks.

b) An order directing the plaintiff to grant unfettered access to remove its blocks of granite stored in an area bounded by claim numbers 40665BM, 40520BM and 37016BM.

c) Costs of suit.

Alternatively, the defendant prayed for

a) An order directing plaintiff to pay defendant the production costs in respect of the blocks awarded to the plaintiff.

b) Costs of suit.

The Issues

22. The matter proceeded to trial on the following issues as recorded in the joint pre-trial conference minute signed on 17 October 2024.

a) Whether or not defendant carried out any mining operations within the boundaries of plaintiff's claims known as Mutoko Gold 32, registration number 40675BM; Mutoko Gold 29, registration number 40520BM, Mutoko Gold, registration number 37016BM

(hereinafter referred to as Mutoko Gold claims), prior to February 2023, and if so what is the quantum of blocks won within the boundaries of the Mutoko Gold Claims?

b) Whether or not the Defendant had prior knowledge of the existence of the Plaintiff's claims known as Mutoko Gold 32, registration number 40675BM, Mutoko Gold 29, Registration number 40520BM; and Mutoko Gold, registration number 37016BM (hereinafter referred to as Mutoko Gold claims) at any point prior to the complaint made to the Ministry of Mines and Mining Development in February 2023.

c) If the Plaintiff is declared the owner of the disputed 503 granite blocks, or any lesser number determined by the Court, is the Defendant entitled to recover the cost of mining of the blocks? If so, what is the quantum of such compensation?

Statement of Agreed Facts

23. At the commencement of the trial, the parties' counsel agreed to curtail proceedings by entering a statement of agreed facts, which recorded issues and evidence that was common cause to the parties. The agreed issues were recorded as follows:

a) All documents issued by the Ministry of Mines were accepted into the record as evidence.

b) In line with para 1 above, the parties therefore agreed to dispense with the need to call the witnesses that had been subpoenaed by the defendant, being employees of the Ministry.

c) In the event of the plaintiff succeeding in its claim against the defendant, then the value of the forty (40) granite blocks that were removed from the Mutoko Gold Mining Claims by the defendant would be calculated at the price of US$600.00 per cubic metre at an average of 7 cubic metres per block.

d) In the event of the defendant succeeding in its counterclaim, then the cost of mining the blocks in *situ* shall be calculated at the rate of US$350.00 per cubic metre at an average rate of 7 cubic metres per block. However, if the defendant was able to prove, by leading of evidence, a mining cost of more than US$350.00 per cubic metre at an average rate of 7 cubic metres per block, then the defendant shall be entitled to any such sum as determined by this Honourable Court. Should the defendant fail to prove the additional mining cost, the plaintiff shall be entitled to all costs associated with the leading of the evidence to prove the agreed amount of US$350.00, over and above any other costs that the court may determine.

The Trial

The evidence of Simbaneuta Utsiwegota

24. He appeared as the plaintiff's sole witness. He was a shareholder in the plaintiff, having been a director at some point. He described the plaintiff as a company that owned granite mining claims and was also involved in quarry mining. The mining claims were pegged in 2012, although the company had long been in existence. The plaintiff owned the three claims which have already been referred to above. These were located on the same mountain with the first at the foot of the mountain, the second in the middle and the third at the top of the mountain. The claims were all registered in the plaintiff's name.

25. In February 2023, the witness discovered the defendant's mining equipment carrying out granite mining on the middle part of the plaintiff's claims. The defendant had already exhausted the product at the foot of the mountain. Some granite had also been extracted from the top of the mountain before the defendant was intercepted and stopped. Mining operations were evident on the three claims as roads leading to all the claims had been prepared.

26. The witness established that it was the defendant responsible because of its equipment that he found on the ground. At the foot of the mountain were granite blocks which showed that they had been mined from this claim. It was the same with the middle and top parts of the mountain. The blocks were marked CRG, MW with four-digit numbers, and the sequence was the same in respect of all the claims. All the 503 blocks that he claimed to belong to the plaintiff were marked MGW. Some of the blocks from the claim at the top of the mountain were also marked KA.

27. After the discovery, the plaintiff wrote a letter to the Ministry which it copied the Zimbabwe Republic Police. The Ministry invited the interested parties for a hearing. At the hearing the Ministry appointed a fact-finding team to visit the claims and verify the parties' boundaries and beacons. The ministry prepared its own report of its findings. The report dated 21 April 2023 was produced in court as evidence by consent. The report noted that a lot of mining activities took place in the plaintiff's claims as evidenced by the large area stripped of overburden and deposits of cut-off black granite rubble material. The report also noted link roads winding through the claims used to access the mined black granite.

28. The report further established 449 cut and marked blocks of black granite ready for shipping, still left discarded within the two claims (40520BM and 37016BM) close to the truck loading bay after being produced from the mining area. Also observed was a loading bay created on the southern side of the claim in the Mutoko Gold 29 mining block. There were also black granite outcrops stripped off of overburden and ready to be cut located in Mutoko Gold 29. On the extreme north of the same mining block, the report observed extensive preparations to expose the black granite blocks by CRG, which had started taking place with access roads having been developed to connect the area.

29. The witness dismissed the averments made in the defendant's plea that the blocks were conveyed from its other mining sites and deposited in the plaintiff's claim. The witness maintained that the evidence on the ground showed that the blocks were mined in the plaintiff's claims. Besides, it was not economically viable to move the blocks from one claim to the other as alleged by the defendant. The blocks weighed on average 25 tonnes which made it expensive to move them from one place to the other.

30. The witness also dismissed the defendant's averment that the inscription CRG denoted the quality of the blocks and not necessarily their source. The witness charged that the defendant merely wanted to run away from the reality that the blocks were mined from the plaintiff's claims. According to the witness, the inscription MKG meant Mutoko Gold, implying that the blocks originated from the plaintiff's claims. The codes were intended to identify the blocks with their location or source and not their quality. The quality was referred to in the various schedules attached to the defendant's bundle, as the grade.

31. The witness also stated that the blocks produced from the plaintiff's two claims were marked CRGMGW with four digits. From a physical inspection of the mined blocks, one was able to confirm that there was a continuation of the numbering up to the defendant's last production in February 2023 in the same area in which the defendant had encroached into the plaintiff's claims. The defendants continued to use the same codes that the plaintiff was using for its blocks. The witness denied the defendant's claims that the blocks emanated from its CRG 7 claim, arguing that the defendant was just carrying out mining operations including in claims that did not belong to it.

32. According to the witness, the defendant unlawfully carried out most of the operations on the plaintiff's Mutoko Gold claim 37016BM, which was the claim at the foot of the mountain. The defendant had not even claimed that its claim CRG 7 overlapped with the plaintiff's Mutoko Gold 37016BM. Most of the blocks claimed by the plaintiff had come from this claim. It was for that reason that the plaintiff denied any liability to compensate the defendant if the court found that the blocks were mined from the plaintiff's claims. The plaintiff argued that it could not be made to compensate the defendant for its illegal mining operations on its claims. The mineral was depleted because of illegal mining, and the defendant had already sold some of the blocks.

33. The witness denied that the defendant produced the blocks at a cost above US$350.00 per cubic metre. He averred that the production costs hovered within the range of between US$250.00-US$350.00 per cubic metre. Any costs above that would render the whole mining venture unviable. Further, the industry had its own model relating to costs of production which players followed. If one increased their costs of production beyond the industry model, then it meant that they would not be viable in the market. The plaintiff used European technology which pitched its production cost at US$270.00 per cubic metre. The defendant used the Chinese technology which was less viable.

34. Under cross examination, the witness conceded that there were only two certificates of registration confirming the plaintiff's title to two claims. The third was missing. Also missing from the plaintiff's documents was the map showing the area covered by the plaintiff's claims for which certificates were produced. The Ministry had, however, attached to its report a hand drawn document which showed the location of the parties' respective claims. The witness averred that the document would serve the same purpose as a map because the coordinates were there. Although the document referred to two claims, the Ministry report spoke of three claims. A separate diagram for the remaining claim had also been prepared. The initial complaint that was made to the Ministry was concerned with two claims. After the fact-finding visit, another complaint letter had been written to the Ministry in which the plaintiff was complaining of illegal mining and not just the over pegging.

35. The witness explained under cross examination that although no evidence of beacons was placed before the court, the Ministry officials located the beacons during the site visit. The

findings by the Ministry were based on the beacons and the boundaries that had been observed by the officials. The report from the Ministry also showed the hectarage of the respective claims.

36. The witness conceded that there was no certificate of registration before the court with reference to the **KA acronym**. His explanation was that the KA acronym was not part of the plaintiff's name, but the defendant's. The blocks that were illegally mined from the plaintiff's claims bore the words KA. The blocks that were mined from the defendant's own claim bore the **acronym KA**. It was up to the respective miner to give a code of their choice. The witness stated that there was a list of blocks from the defendant which bore the inscription **KA and MG**.

37. Under re-examination, the witness stated that the loading bay was located in the Mutoko Gold claim (registration number 37016BM). It had been set up by the defendant without the plaintiff's knowledge. The witness insisted that the plaintiff was not liable for the defendant's production costs because it had not engaged the defendant to produce the blocks on its behalf. The defendant had also not sought the plaintiff's permission to mine those blocks from the plaintiff's claims.

The Defendant's Case

The Evidence of Anthony William Gardner

38. He testified in his capacity as the defendant's managing director for the past 17 years. He oversaw the defendant's operations as its managing director. The defendant was in the business of mining and selling granite blocks mostly to the European market. The defendant had two mining claims, Mutoko Gold 33 and CRG 7. The claims were close to the plaintiff's mining claims in the Mutoko area. Mutoko Gold 33 was acquired in 2016, while CRG 7 was acquired in 2022.

39. At the time of the registration of the defendant's claims, the witness was not aware of the plaintiff's claims in the area. The defendant was issued with a Prospecting Notice and a Discovery Notice for Black Granite by the Ministry on 15 October 2016.

40. The defendant commenced mining operations at CRG 7 in November 2022. No mining activities were ever carried out at Mutoko Gold 33. Prior to the registration of the claims, the Ministry officials came to the site to check for coordinates and whether the claim was not

registered already. On 23 November 2016, the office of the Provincial Director, Marondera confirmed that the coordinates that the defendant had applied for were correct and that the ground was open for pegging and prospecting. The office did not have any objection to the approval of the defendant's prospecting licence.

41. By letter of 4 August 2021, the Ministry's Marondera office confirmed that a verification prior to registration had been carried out in respect of claim CRG 7. The office recommended that the defendant be granted its certificate after all considerations had been made in terms of the Act. The witness averred that when the defendant registered its claims, there were no prior pegs on the claims. After the registration of the claims in the defendant's name, they put beacons at the corners of the claims.

42. When the dispute arose between the parties, the Ministry officials came on the ground and identified coordinates of the plaintiff's claims which showed that the defendant's Mutoko Gold 33 over pegged the plaintiff's Mutoko Gold 29. The Ministry recommended that the defendant's claims be cancelled because of the over pegging. The defendant ceased mining operations once the determination was made. The 503 blocks were already stocked by the loading bay. Of these 40 had already been sold to a third party.

43. On 12 August 2021, the defendant through the witness had written a commitment letter to the Ministry's Marondera offices. In that letter, the defendant made a commitment that if a dispute arose in connection with its two claims, then it would let the Ministry cancel the claims. The reason for this commitment was that there was no prior information concerning the ownership of these pegged claims. According to the witness, at that stage, the Ministry was facing many cases of registration errors, and it wanted to safeguard its interests in case a dispute arose between miners in the future. The defendant would not have persisted with registration had it been informed that there was already a prior pegger on the same claims.

44. In response to the question about how many of the 503 blocks had been mined from the defendant's two claims, the witness stated that 104 blocks had been mined from CRG 7. No mining had taken place at Mutoko Gold 33. Only preparatory work had been conducted at Mutoko Gold some seven years back. According to the witness, from the description that had been given by the plaintiff's witness concerning the location of the plaintiff's claims, Mutoko Gold 33 was the claim that would have been closer to the plaintiff's claims. The

witness denied that the defendant had carried out any mining activities outside the confines of CRG 7.

45. The witness testified that the defendant was engaged in mining operations on claim MG 28, which lies adjacent to the disputed area. The defendant had several blocks that it also moved to the loading bay which was slightly outside CRG 7. That claim belonged to somebody else. The defendant moved the blocks from MG 28 because there was no loading in that claim. The terrain in that claim was hilly making it difficult to store the blocks on the side of the mountain. The blocks were moved to the loading bay by front loaders. They were then loaded onto 30 tonne trucks at the loading bay. The loading bay therefore needed to be on flat land which was close to a road for convenience.

46. The witness explained the acronym MGW as a generic term for the type of granite that the defendant was mining at Mutoko Gold 28. It was also used for granite blocks won from CRG 7. The witness agreed with the plaintiff's witness that it was up to a miner to assign names of choice to their products. The idea was to differentiate the products coming from different miners. The defendant had since discontinued using the acronym MGW as it had become tainted following the dispute with the plaintiff.

47. According to the witness, the defendant was mining at **CRG 7 during the period November 2022 to February 2023**. A total of **104 blocks** had been won from the claim. The products were classified either as classic or commercial. Classic denoted a product of superior quality as compared to commercial, which was of inferior quality.

48. The witness also stated that its costs of producing a block of granite included administrative costs, which explained why its average cost was above US$550,00 per cubic metre. It was for that reason that the defendant must be compensated for administrative costs which were inevitably incurred while producing the granite blocks. Such administrative costs included electricity, rentals for the Harare office, insurance for vehicles and equipment as well as security costs. In short, the defendant claimed compensation for both direct and indirect costs.

49. The witness also claimed that at some point the defendant sold 10 granite blocks to the plaintiff before the dispute arose. The plaintiff was therefore aware that the defendant was its neighboring miner.

50. Under cross examination, the witness stated that the stock sheets that the defendant produced for the period May 2021 to February 2023 represented blocks that were produced in the disputed area. These were not production reports. The blocks produced during the period October 2022 to December 2022 were all sold. These had been mined from CRG 7. The witness conceded that the defendant had not produced any document that showed that it was producing its blocks from a particular mine in the form of a disposal schedule. This was despite the fact that in his summary of evidence, the witness had stated that he was going to lead evidence to demonstrate that the blocks were produced from the defendant's claims known as **Mutoko Gold 25 and Mutoko Gold 28.**

51. The witness also confirmed that returns of output and disposal filed with the Ministry in terms of s 251 of the Act showed that for the period November and December 2022 and January 2023, Mutoko Gold 25 and Mutoko Gold 28 and Mutoko Gold 33, filed nil returns. The witness also confirmed that the stock sheet for the period May 2021 to February 2023 was concerned with a different quarry. There was also no production returns for the blocks referenced MGW from November 2022, which would show the blocks that were sold. A document from the Ministry capturing the production returns for the period January 2022 to December 2022, and January 2023 to March 2023 in respect of Mutoko Gold ME166BM and CRG 1313BM, all demonstrated a nil position.

52. Under cross examination, the witness conceded that there was no evidence before the court which demonstrated that the blocks of granite in dispute came from the defendant's other claims. This was despite the fact that the witness was fully aware that the plaintiff lay claim to all the blocks on the basis that they came from its claims. The defendant had failed to produce returns that showed the specific claims from which the blocks emanated.

53. Although the witness averred that there were no beacons to demonstrate the plaintiff's title to the claims, he conceded under cross examination that the report from the Ministry showed that the ground verification had established that there were beacons demarcating both parties' claims. The witness averred that he was not aware of the existence of the beacons. During the ground verification exercise, the defendant was represented by one D. Nyabote, its Quarry Manager.

54. Concerning the commitment letter of 12 August 2021, that he wrote to the Ministry, the witness claimed that he was forced to write the letter by the Ministry, as a condition for the awarding of the claims to the defendant. He conceded that there was nothing in the Act which called for the submission of a letter of commitment to the Ministry. There was also no letter from the Ministry inviting the defendant to submit the commitment letter. In the pleadings, the defendant had not stated that it was forced to write the commitment letter. Further, since 2021, the defendant had not taken steps to withdraw the commitment letter. The witness, however, denied that he wrote the commitment letter because he was aware that there was a third party with a superior title.

55. The witness also admitted that the rubble which was depicted in one of the pictures in the plaintiff's bundle was found in the Mutoko Gold claim. The blocks of black granite were found in a loading bay which was not located in any of the defendant's claims. The witness admitted that the defendant had constructed a loading bay and was storing blocks in an area that did not belong to it.

56. The witness stated that the defendant's costs of production per cubic metre for the year 2022 were US$390.67[1], as demonstrated in its "CRG QUARRIES COST PER CUBE 2022". The amount was not segregated to the blocks being claimed by the plaintiff for which the defendant wanted to be compensated for its costs of production. The costs of production that the defendant claimed was pegged at US$539.02, excluding lease rental.[2]

57. According to the witness, the defendant expected the plaintiff to pay for such production costs which included DSTV subscriptions, parking fees, legal fees for 2022 which had nothing to do with the plaintiff, vehicle licenses, tollgate fees, medical expenses and even salaries of people who were not involved in the extraction of the mining blacks. The witness conceded that the defendant's claim for costs went beyond what it had expended to produce the blocks for which compensation was sought. Some of the blocks were extracted from the defendant's MG28 and CRG 7 claims, and no reference had been made to any other claims in the defendant's papers.

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[1] Schedule on page 195 of the record
[2] Schedule on p201 of the record.

58. In reexamination, the witness further explained that not all blocks were mined from CRG 7, some came from MG28. Further, CRG 7 was the claim that overlapped with the plaintiff's claim.

The Plaintiff's Closing Submissions

59. It was submitted that the evidence on record which included inspection reports compiled after the parties' dispute confirmed that the blocks were produced from within the plaintiff's registered claims, and the defendant had no lawful authority to be operating in the area concerned. It was also submitted that the defendant's counterclaim on ownership or the alternative demand for payment of production costs was legally unsustainable and contradicted by the findings of the Ministry.

60. It was further submitted that the granite blocks were shown, with unimpeachable clarity, to have been extracted from the plaintiff's mining claims. Reference was made to the determination of 3 March 2023 by the PMD for Mashonaland East, T. Kashiri following a site visit and dispute hearing. The PMD determined that the plaintiff was the prior pegger in the area. That finding carried legal significance, with reference to s 177(3) of the Act which entrenched the prior pegger principle.

61. The plaintiff averred that based on the documentary record admitted without qualification by the parties, the inescapable reality was that the granite blocks were affirmatively found by the relevant authorities to have originated from mining claims **40520BM and 37016BM**. Once it was accepted that the plaintiff was the prior pegger and that the blocks were mined from its claims, then the legal consequence under s 177(3) of the Act was inexorable. The defendant's putative rights had to be subordinated to those of the plaintiff.

62. The plaintiff also submitted that it was of practical and legal importance that the blocks remained in *situ*. The blocks marked MGW were still situated on the plaintiff's registered claims. It was inconceivable that the court would award those blocks to the defendant, when on 3 March 2023, being the date of the Ministry's determination, the defendant was formally notified that the plaintiff was the prior pegger. From that date, any claim by the defendant over minerals located on these claims became legally unsustainable.

63. The plaintiff argued that any belated attempt by the defendant to rely on **s 177(7) of the Act** was misconceived and legally impermissible. The provision afforded limited protection to a

bona fide subsequent pegger who, in good faith and without notice, extracted minerals from the land of a prior pegger. However, the defendant's case was never that it extracted granite from the plaintiff's claims. Its pleaded position was the opposite. It denied any extraction from the plaintiff's claims, averring instead that the granite blocks were sourced from a different location. That manner of pleading vitiated any attempt to rely on s 177(7) of the Act. A party could not be allowed to approbate and reprobate. The defendant had to be held to its pleadings.

64. It was further submitted that the defendant's assertion that the blocks were sourced from its surrounding claims, namely MG 8, 1313BM, MG 28 and MG 25 was wholly unsupported by any admissible or credible evidence. No statutory return, production register or extraction report was placed before the court to show that the blocks were mined from those claims and subsequently transported and deposited onto the plaintiff's ground. The plaintiff argued that the absence of even the most rudimentary documentation rendered the defendant's claim fanciful. It was inconceivable that such a substantial and logistically burdensome relocation exercise could have occurred without leaving behind any audit trail, documentary record or witness testimony.

65. The plaintiff also argued that the defendant's suggestion that it was entitled to compensation or a *declaratur* in respect of granite unlawfully extracted from land that it had no right to mine was untenable in law and principle. The Zimbabwean jurisprudence did not permit a party to found a legal right upon unlawful conduct. The maxim *commodum ex injuria sua nemo habere debet* (no man should derive advantage from his own wrong), was a foundational tenet of our legal system. A party who committed an act of trespass could not be rewarded for their own iniquity.

66. It was further submitted that the defendant's status as a subsequent pegger did not elevate it to legality. The defendant was not even entitled to peg the area from which it extracted granite. The defendant was a trespasser, and its mining activities were unlawful from the outset. Courts had consistently refused to countenance claims tainted by illegality or impropriety.[3] The court was referred to the American case of *Riggs v Palmer* (1899) 115 NY 506, NE 188, where the court held that "All courts may be controlled in their operation and

[3] *Mudzumwe & Ors v MDC & Another* HH 232/12 and *Mushoriwa v City of Harare* 2014 (1) ZLR 515 (H) at 519

effect by general, fundamental maxims of the common law. No one shall be permitted to profit by his own fraud, or to take advantage of his own wrong."[4]

67. The defendant's demand for compensation was dismissed as preposterous and likened to a burglar suing a homeowner for the costs incurred in carrying out a break-in. The defendant, aware of the dubious legality of its operations, had communicated to the Ministry its willingness to relinquish its claims if challenged. There was no evidence to show that this concession was extracted under duress, nor was any plea of coercion made. The only plausible conclusion, on a balance of probabilities, was that the defendant recognized the fragility of its title and was ready to flee the consequences. The claim for compensation was not only legally flawed, but it was also morally repugnant.

68. The plaintiff also dismissed the financial records tendered by the defendant to justify its production costs, as being wholly suspect, irrelevant and of dubious credibility. The records produced pertained to operations at the defendant's Kamba Quarry, and not from the disputed site or any of the alleged surrounding areas from where the defendant initially said the blocks were extracted. Further, the schedules produced included extraneous expenses such as newspaper subscriptions, motor vehicle insurance, DSTV entertainment costs for managers, general staff salaries, which were unrelated to block production.

69. The defendant's witness was accused of trying to lead evidence that was in contradiction with his own documents. Even though the financial accounts produced on behalf of the defendant referred to Kamba Quarry, the witness sought to persuade the court that the same records also encompass operations at entirely different sites. Further, although the production reports tendered by the defendant clearly referred to claims unrelated to the dispute, the witness had made the startling proposition that the reports should nonetheless be accepted as evidence of granite extracted from claims not even mentioned therein.

Defendant's Closing Submissions

70. The defendant accused the plaintiff of leading irrelevant evidence which did nothing to discharge the onus that it assumed at the pre-trial conference. The defendant on the other hand had established its entitlement to the dismissal of the plaintiff's case and judgment in terms of the counterclaim. It was submitted that the common cause evidence showed that the

[4] See also *Wang & Ors v Ranchod & Ors* 2005 (1) ZLR 415 (H)

defendant carried out mining activities at the relevant time without knowledge of any prior claim to the same area by the plaintiff. This was in accordance with lawfully obtained documents of title.

71. It was submitted that the plaintiff bore the onus in respect of the first two issues for trial. In respect of the first issue, the plaintiff was required to establish what mining operations were carried out in respect of each of the three named mining claims and how many blocks of granite were extracted from each of the claims. In respect of the second issue, the plaintiff was required to establish by evidence whether the defendant had prior knowledge of the existence of the three mining claims before February 2023. The plaintiff had failed to discharge the requisite onus to prove the above. The plaintiff failed to establish where the 503 disputed mining blocks were extracted from. The defendant complied with the relevant legal processes for the acquisition and registration of its own three mining claims.

72. The plaintiff further submitted that in terms of the law, the defendant owned the disputed blocks. According to the defendant, this position was reinforced by **s 177(7) of the Act**. The defendant carried out mining activities at the disputed location under the authority of certificates of registration issued by the Ministry. It therefore qualified for protection under s 177(7) of the Act. It was further submitted that the question of ownership of minerals won from a location which was subsequently proven to belong to a prior pegger and was affected by the priority of acquisition of mining title in terms of **s 177(3)** was determinable as a matter of law according to the prescription in **s 177(7)** of the Act.

73. The ownership of the minerals won, in this instance by the defendant which carried out mining activities under the authority of the law, was already declared by the statute. The statute barred the court from making any order which was contrary to its manifest intention. The court could not be persuaded to break the law.

74. The defendant also argued that another legal principle which worked against the plaintiff's claim was that the mining certificates under which the defendant carried out mining operations were not set aside. Until they were set aside, they had valid effects and consequences. They remained valid until set aside. An additional impediment in the plaintiff's claim was that the plaintiff did not seek an order setting aside the mining certificates issued to the defendant. Failure to do so was fatal to the plaintiff's claim. It was

tantamount to an acceptance of the validity of the processes undertaken by the defendant in acquiring mining title and the subsequent mining.

75. It was further submitted that in its declaration, the plaintiff sought a declaration of the ownership of 503 mining blocks and the return of the 40 blocks sold by the defendant or alternatively the value of the latter in the sum of US$159,000.00. Without a *declaratur* issued by a competent court of the illegality of the conduct of the defendant, there could not be a claim for the return of the blocks. Dominium in minerals which have not been extracted resides in the President[5]. Upon being permitted by the law, once extracted, the miner became the owner of the extracted minerals. In this instance, the miner was the owner. Section 177(7) sealed the fate of any claim to the minerals by the plaintiff.

76. The defendant also argued further that the documentation issued to the defendant by the Ministry confirmed that the prospecting, pegging and registration of the defendant's claims was lawful and above board.

77. As regards the counterclaim, it was submitted that in the event of the court finding that the defendant was aware of the prior rights of the plaintiff, the defendant was entitled to compensation in respect of both direct and indirect costs for extracting the blocks in issue. The defendant's claim was based on unjust enrichment. Had the plaintiff mined the blocks, then it would have incurred a cost, and it could not escape liability for such a cost. Although the parties had agreed that if an award was to be made against the plaintiff for the cost of extracting the block, in the sum of **US$350.00 per cubic metre** in respect of each block averaging seven cubic metres, the defendant had led cogent evidence for both direct and indirect costs justifying a figure of **US$535.00 per cubic metre**.

The Analysis

78. As already highlighted, the matter proceeded to trial on three issues which I shall relate to hereunder.

Whether or not defendant carried out any mining operations within the boundaries of plaintiff's claims known as Mutoko Gold 32, registration number 40675BM; Mutoko Gold 29, registration number 40520BM, Mutoko Gold, registration number 37016BM (hereinafter referred to as Mutoko Gold claims), prior to February 2023, and if so what is the quantum of blocks won within the boundaries of the Mutoko Gold Claims?

[5] Section 2 of the Act.

79. As already highlighted earlier, at the commencement of the trial, the parties, through their respective counsel further agreed to streamline their issues through a statement of agreed facts. That process was critical since it obviated the need to lead further evidence in respect of documents that emanated from the Ministry. The documents were to be accepted as they were.

80. Further, the value of the 40 granite blocks that were allegedly removed from the plaintiff's claims was agreed at US$600.00 per cubic metre at an average of 7 cubic metres. Agreement was also reached on the sum of US$350.00 per cubic metre being the cost of mining the blocks in *situ* at an average of 7 cubic metres per block. This was subject to the condition that if the defendant was able to prove through evidence a mining cost above this agreed amount, then the defendant would be able to claim such.

81. From my reading of the issues, it was not in dispute that the plaintiff owned the three claims under the Mutoko Gold banner. What was in issue was whether the defendant extracted granite blocks from any of the plaintiff's three claims, and the quantum thereof. The plaintiff claimed that 503 blocks of granite were unlawfully extracted from its claims. Of these, 40 had already been moved away. The balance of 463 remained in situ.

82. In its plea, the defendant denied that the 503 blocks were unlawfully mined from the plaintiff's claims. It averred that the said blocks were a mixture of blocks that it produced from its other surrounding claims and those mined in CRG 7, which were stored in mining locations Mutoko Gold 33 and CRG 7. Only 68 of the blocks were mined in CRG 7. In his oral evidence, the defendant's sole witness claimed that 104 blocks had been extracted from CRG 7, with the rest coming from its other claims.

83. It is common cause that the dispute between the parties was referred to the PMD Mashonaland East, under whose jurisdiction the parties mining claims are located. The findings of the PMD, as the authority responsible for mining matters in the area, are critical to the resolution of the dispute between the parties. The ground visit conducted on 16 February 2023, following a hearing held at the Ministry's offices in Marondera on 14

February 2023, revealed the following findings that were recorded in a letter addressed to the parties by the PMD dated 3 March 2023[6]:

- There was an over peg between Dragon Mining Syndicate's block of claim **Mutoko Gold 29 and CRG 7.**
- There was another over peg between Dragon Mine Syndicate's block known as **Mutoko Gold 32 and CRG Quarries block named Mutoko Gold 33**.

84. Having made the findings, the PMD determined that the plaintiff as the prior pegger in both cases involving its blocks of claims, **Mutoko Gold 29 and Mutoko Gold 32**, should be allowed to exercise its mining rights without any disturbance from the defendant which was the subsequent pegger in terms of s 177(3) of the Act. The PMD also determined that the defendant's claims namely **CRG 7 and Mutoko Gold 33** should be cancelled in terms of s 50(1)(a) of the Act since they were pegged on ground that was not open to prospecting and pegging.

85. Also placed before the court was a report from the Inspector of Mines and Explosives, Mashonaland East Province, **dated 21 April 2023**[7]. The report was addressed to the PMD Mashonaland East Province. The report recorded the outcome of a fact-finding inspection visit to the plaintiff's claims following a request to confirm and evaluate the extent of mining operations that took place in the plaintiff's mining claims by the defendant. The following observations were made.

- The mining claims were situated in the hilly area of Kativhu village.
- The plaintiff's claim, **Mutoko Gold (Registration No. 37016BM)**, **measuring 15ha** was at the foot of the mountain and stretched north-south alongside the banks of the Nyadire river.
- A lot of mining activities took place as evidenced by the large area stripped of overburden and deposits of cut-off granite rubble material.
- There were **449 cut and marked blocks of black granite** ready for shipping, still left discarded **within the two claims (40520BM & 37016BM)** close by the truck loading bay after being produced from this mining area.

[6] See p 98-100 of the record.
[7] Report on p109-110 of the record.

- There was a loading bay created on the southern side of the claim in the **Mutoko Gold 29 mining block, registration No. 40520BM (19ha)**.
- There was **black granite outcrops stripped off of overburden and ready to be cut located in Mutoko Gold 29**. **Extreme north of the same mining block shows extensive preparations to expose the black granite resource by CRG**, which had also started taking place with access roads having been developed to connect the area.
- Granite block cutting was concentrated more on the boulders exposed during removal of overburden within the same mining claims and transported by forklifts to the truck loading bay ready for shipping to the market.
- **Mutoko Gold 32 mining claim**, **Registration No. 40675BM (20ha)** was mined one fifth of the area by CRG and is evidenced by remnant waste cut-off rubble material deposited in the mining claim with a total of 51 cut and marked black granite blocks still stacked within the claim ready to be transported.

86. The PMD's letter of 3 March 2023 was critical for the following reasons. Firstly, it established that the defendant's claim CRG 7, encroached into the plaintiff's claim, Mutoko Gold 29. Secondly, it established that the defendant's claim, **Mutoko Gold 33** encroached into the plaintiff's claim, Mutoko Gold 32. It was for that reason that the PMD determined that the defendant's claims, **CRG 7 and Mutoko Gold 33**, be cancelled in terms of s 50(1)(a) of the Act.

87. The report by the Inspector of Mines and Explosives on the other hand confirmed the following uncontroverted findings that are significant:

- A lot of mining activities were carried out by the defendant in the plaintiff's claims.
- There were 449 cut and marked blocks of black granite that were ready for shipping, which were left discarded in the plaintiff's two claims, **Mutoko Gold 29 (Reg 40520BM)** and **Mutoko Gold (Reg 37016BM)**.
- There was a loading bay created on the southern side of Mutoko Gold 29.
- The plaintiff's **Mutoko Gold 32 (Reg 40675BM)** had one fifth of its area mined by CRG.
- The report also confirmed the existence of the plaintiff's three mining claims and their hectarage.

88. The letter and the report referred to above were produced pursuant to an official fact-finding inspection, following an official dispute hearing at which both parties were represented. The second report clearly pointed to the plaintiff's claims as the source of the extracted granite blocks in the absence of evidence to the contrary. Faced with this official position from the regulator of mines, it was incumbent upon the defendant to demonstrate through its own independent documentary evidence, that the blocks of granite which were deposited in the plaintiff's claim emanated from its own claims.

89. In its closing submissions, the defendant argued that the plaintiff's evidence did not establish where the 503 mining blocks were extracted from. It was also submitted that the plaintiff bore the onus to establish what mining operations were carried out in respect of each of the three named mining claims and how many blocks of granite were extracted from each of the claims.

90. Having considered the documentary evidence before the court, and more importantly the report by the Inspector of Mines and Explosives, the court determines that the report by the said inspector resolves this issue on the origin of the 503 mining blocks. The onus shifted on to the defendant to provide a rebuttal to the conclusions reached by the Ministry officials on the state of the claims based on their own ground verifications. To achieve this feat, the defendant ought to have placed before the court evidence in the form of statutory returns or production registers which clearly demonstrated that the disputed blocks were in fact mined from its claims and transported to the plaintiff's claims.

91. As stated in the report by the Inspector of Mines and Explosives, the 449 blocks were found discarded in the plaintiff's claims, namely **(40520BM & 37016BM)** close by the truck loading bay "**after being produced from this mining area"**. Without any contradictory evidence, the court is persuaded to accept that the disputed blocks of granite were indeed mined within the plaintiff's mining claims.

Whether or not the Defendant had prior knowledge of the existence of the Plaintiff's claims known as Mutoko Gold 32, registration number 40675BM, Mutoko Gold 29, Registration number 40520BM; and Mutoko Gold, registration number 37016BM (hereinafter referred to as Mutoko Gold claims) at any point prior to the complaint made to the Ministry of Mines and Mining Development in February 2023.

92. The defendant submitted that the plaintiff's evidence was found wanting in respect to establishing knowledge on the part of the defendant of the existence of the plaintiff's mining claims. It was further submitted that all the relevant process prescribed by law had been followed for the defendant to acquire and register its three mining claims. Ground verification had also been carried out by officials of the Ministry. The defendant also claimed that there was no evidence of the existence of beacons demarcating the plaintiff's claims between 2016 and 2021, when the defendant registered its claims.

93. The plaintiff dismissed the defendant's argument that it had no prior knowledge of the existence of the plaintiff's claims at any point prior to the lodging of a complaint with the Ministry.

94. The defendant finds itself in an untenable position. While on one hand it sought to rely on documents from the Ministry confirming that all relevant due diligence processes and procedures were undertaken before it was issued with mining certificates for its claims, documents from the Ministry suggest otherwise. On 12 August 2021, the defendant through its Managing Director, wrote what it called a **"COMMITMENT LETTER"** to the Director of the Ministry of Mines in Marondera. The letter reads in part as follows:

> "Re: COMMITMENT LETTER
>
> This letter serves as a commitment by CRG Quarries (Pvt) Ltd, concerning blocks pegged under Licences 079096 AA and 079097 AA, that if there is a dispute concerning these two blocks; CRG Quarries (Pvt) Ltd will be in a position to let the claims be cancelled by the Mines Director.
> This is so, because no previous information concerning these pegged claims is available"

95. The defendant's commitment, anticipatory as it was, and made before any dispute arose at the material time, was unconventional and without legal foundation. What is, however, apparent from the wording of the letter is that the defendant was not entirely oblivious to the possibility that the ground upon which it had pegged its claims might already have been subject to competing rights. The undertaking that the claims would be cancelled by the Mines Director "if there is a dispute concerning these two blocks" demonstrated that the defendant was alive to the risk of prior or competing interests over the same claims. Such a pre-emptive concession is not ordinarily made by a holder of mining claims who is confident that the ground in question is free from competing rights. The defendant's witness, who also happened to have written the above letter had been its managing director for 17 years, as at

the time that he testified in court. He was therefore familiar with procedures involved in registering mining claims.

96. The procedures involved in the pegging and registration of mining claims was known to the witness, as confirmed by the documents he placed before the court as evidencing compliance with the relevant procedures. If the procedures were followed to the letter, then why offer to surrender the claims for cancellation in anticipation of a future dispute? The Mines and Minerals Act not only provides a regulatory framework of mining claims and operations. It also provides an in-built mechanism for resolving mining disputes between miners. The language employed by the defendant in the commitment letter suggested that the defendant was aware that the pegged claims might overlap with pre-existing claims and sought, in advance, to absolve the Ministry of any blame should a dispute arise.

97. What the defendant placed before the court were two mutually exclusive positions, all attributed to the conduct of the same regulatory authority. On one hand the defendant persuaded the court to accept that it followed all the legal process attendant upon registration of its claims. Its title was therefore unimpeachable. On the other hand, it placed before the court its communication to the Ministry which all but suggested that it could not confidently assert rights to those mining claims and was therefore prepared to have them cancelled if its title was challenged.

98. The level of ambivalence, as was exhibited by the defendant under the circumstances, lends credence to the conclusion that the defendant was not even certain about its own title as at the time that it acquired the mining claims. The blame cannot be attributed to the Ministry officials, when the parties agreed to open and close their respective cases without inviting Ministry officials to come and explain what appeared to be contradictions in their decision making. The parties' counsels agreed to rely on all documents that emanated from the Ministry without the need to invite Ministry officials to come and further augment the Ministry position through *viva voce* evidence.

99. It was also submitted that at the time that the defendant registered its claims, there were no beacons demarcating the parties' respective claims. For that reason, the defendant would not have known of the existence of the plaintiff's claims. This submission cannot be entirely correct. As already stated in the collation of the defendant's evidence, the defendant's

witness admitted under cross examination that the Ministry's reports had all but concluded that the boundaries for the parties' respective claims were clearly marked. It was on that basis that the PMD concluded that there was an over peg between the plaintiff's and the defendant's claims. It was also on that basis that the PMD determined that the plaintiff was the prior pegger and had superior rights than the defendant. It was also on that basis that the PMD resolved that the defendant's certificate should be cancelled in terms of s 50(1) of the Act.

100. Whether or not the defendant had prior knowledge of the existence of the plaintiff's claims before the complaint made to the Ministry was an issue that the defendant could not conclusively refute without inviting officials of the Ministry to come and clarify the defendant's status considering the conflicting versions that the defendant placed before the court. The defendant's letter of 12 August 2021 watered down whatever rights the defendant claimed to have acquired in the claims based on the due diligence that had been undertaken by the same Ministry to whom that commitment was being made.

The effect of ss 177(3) and 177(7) of the Act on the question of ownership of the blocks

101. There is the related issue of the ownership of the blocks of granite that were extracted from the disputed mining locations. The defendant argued that in terms of s 177(7) of the Act, the defendant owned the disputed blocks. The defendant further argued that it carried out mining activities on the disputed location under the authority of certificates of registration issued by the Ministry.

102. The plaintiff on the other hand argued that once it was accepted that it was the prior pegger and that the granite blocks were mined from its claims, then the legal consequences of s 177(3) of the Act were inescapable. The defendant's putative rights had to be subordinated to those of the plaintiff. The plaintiff further argued that s 177(7) of the Act provided limited protection to a *bona fide* subsequent pegger who in good faith and without notice extracted minerals from the land of a prior pegger.

103. It is worthwhile to recite the two sections hereunder. Section 177(3) provides for the priority of acquisition of title to any mining location or claim. It states that in the event of a conflict between rights of subsequent pegger and those of a prior pegger, then the rights of the

subsequent pegger shall be subordinated to those of the prior pegger. Section 177(7) on the other hand states that:

> "(7) In all cases the holder of any mining location shall, as long as he is *bona fide* in pursuit of his *prima facie* rights, have the right of working and of extracting any of the minerals which he is entitled to mine under this Act, until such time as any other pegger has obtained an injunction from the mining commissioner or from the High Court to stay such working, and all minerals so extracted prior to receiving notice from any other pegger who succeeds in establishing his priority rights shall be deemed to be and shall remain the property of such holder as aforesaid."

104. Section 177(3) does not require any further elucidation. The rights of a prior pegger are superior to those of the subsequent pegger. As regards section 177(7) my understanding of that provision is that it affords some protection to a miner who extracts minerals from a claim under the mistaken belief that it belonged to him when in fact it belongs to prior pegger. Such a miner is accorded rights of ownership in respect of the minerals that were extracted from the said mining location until such time that the miner receives an injunction from the High Court or the mining commissioner to cease such mining activities. Such extraction of minerals must be made by the miner under the *bona fide* belief that he is exercising his rights to the mining location in question.

105. The defendant's position, as I understood it, was that it did not extract any granite blocks from the plaintiff's claims. The defendant instead submitted that it extracted the granite blocks from its own mining claims and not the plaintiff's claims. It averred that the said blocks were only deposited in the loading bay located in the plaintiff's claims for purposes of their transportation. Section 177(7) was not intended to protect a miner who claimed to have extracted minerals from their own claims.

106. At any rate, the defendant cannot claim to have acted in the *bona fide* belief that it was pursuing its *prima facie* rights considering the letter of commitment that it wrote to the Ministry. That conduct of making a commitment to surrender its mining claims in the event of a claim by a third party demonstrated that the defendant was not even confident and certain of its own entitlement to those claims.

The failure by the plaintiff to seek an order setting aside the defendant's mining certificates

107. The defendant also argued that the failure by the plaintiff to seek an order setting aside the mining certificates issued to the defendant was fatal to the plaintiff's claim. It was an

acceptance by the plaintiff of the validity of the processes undertaken by the defendant in acquiring mining title to its claims. The said certificates remained valid until they were set aside.

108. Mr *Magwaliba* appearing for the defendant submitted that without a *declaratur* issued by a competent court concerning the illegality of the defendant's conduct, the plaintiff could not competently assert ownership of the 503 blocks, as well as seek the return of the 40 blocks. Upon being permitted by law to extract the minerals, the defendant became the owner of the extracted minerals.

109. In response to the point, Mr *Zhuwarara* for the plaintiff submitted this issue was resolved by s 177(3) of the Act. The mere fact that the defendant was in possession mining certificates to its claims was something that the law contemplated that there could be competing certificates in respect of the same claims. It was further submitted that there was no need for the plaintiff to seek the setting aside of the defendant's certificates because the fate of those certificates was sealed when the mining authorities decided in favour of the plaintiff.

110. The court determines that there is lack of merit in the defendant's submission on the effect of the failure by the plaintiff to seek the setting aside of the defendant's certificates. The cancellation of mining certificates is an administrative act reposed in an administrative functionary at the first instance. Section 50 of the Act permits the mining commissioner to cancel a certificate of registration issued in respect of a block if he is satisfied that at the time that the block was pegged, it was situated on ground that was not open to pegging.

111. As already noted, the PMD decided to cancel the defendant's certificates in respect of CRG 7 and Mutoko Gold 33 in terms of s 50(1)(a) of the Act, following the ground verification which established that the defendant's claims encroached into the plaintiff's claims. In its pleadings, the defendant averred that it had appealed against the decision of the PMD. It was not clear whether such an appeal was prosecuted to finality as at the time this matter was heard. What is however critical is that a decision was made to cancel the defendant's mining claims by the same authority that had issued mining certificates for the same claims.

If the Plaintiff is declared the owner of the disputed 503 granite blocks, or any lesser number determined by the Court, is the Defendant entitled to recover the cost of mining of the blocks? If so, what is the quantum of such compensation?

112. The issue speaks to the defendant's counter claim. The defendant submitted that if the court found in favour of the plaintiff on the issue of ownership of the disputed blocks, then the defendant ought to be compensated for the cost of mining those blocks. The defendant pegged its costs at US$535.00 to extract a cubic metre of granite.

113. In its response, the plaintiff's dismissed the defendant's claim arguing that the defendant was a trespasser and it could not be compensated for having unlawfully extracted the blocks from the plaintiff's claims. In the alternative, the plaintiff submitted that if the defendant succeeded in its claim for compensation, then the costs of production should not exceed what the plaintiff would have incurred in mining those blocks. The plaintiff further dismissed the defendant's own computed costs of winning the blocks as exorbitant and unjustified.

114. It is not in dispute that the defendant incurred costs in winning the blocks from the plaintiff's claims. It is also not in dispute that the plaintiff would have incurred costs in winning and preparing the blocks for sale. Further, it was also not refuted by the plaintiff that the blocks that were unlawfully extracted from its claims by the defendant would have been sold in any other state other than the state in which they were mined and left by the defendant.

115. As indicated already, at the commencement of the trial, the parties' counsels further refined the issues for trial through a statement of agreed facts. One of the matters on which agreement was reached was to peg the cost of mining the blocks in *situ* at the rate of US$350.00 per cubic metre at an average of 7 cubic metres. The court would only award the defendant an amount above the sum of US$350.00 per cubic metre if the defendant was able to prove, through evidence, a mining cost above that agreed amount.

116. Having considered the parties evidence and the submissions on the point, the court determines that the defendant failed to demonstrate that it was indeed entitled to a mining cost more than the agreed sum of US$350.00. The defendant's figures were all muddled up. Claims were made for both direct and indirect costs, some of which had absolutely no bearing on the production of the blocks in question. Some of the records produced pertained to operations at Kamba Quarry which is owned by the defendant. Its relevance to the mining claims in dispute was not explained.

117. The defendant also claimed costs associated with newspaper subscriptions, motor vehicle insurance and DSTV entertainment costs for management. The relevance of such costs to the extraction of granite blocks in Mutoko were not satisfactorily explained. It was for that reason that the court determined that there was no justification to go beyond the agreed sum of US$350.00 per cubic metre.

118. The defendant's counterclaim will therefore only succeed in respect of the alternative claim for payment of costs incurred in the production of the blocks that the court awarded the plaintiff.

COSTS OF SUIT

119. Costs follow the cause. The plaintiff was predominantly successful in its claims. It is therefore entitled to its costs as the successful party. The defendant was marginally successful in its counterclaim. It cannot successfully claim costs of suit in respect of its counterclaim when the reason why the parties are in court is because of the unlawful mining operations that it carried out on the plaintiff's claims.

Resultantly it is ordered as follows:

a) In respect of the plaintiff's Claim in Convention

1. Judgment is hereby entered in favour of the plaintiff.
2. The 503 granite blocks are hereby declared to be owned by the plaintiff.
3. The defendant shall return the plaintiff's 40 granite blocks that it unlawfully removed from the plaintiff's claims. Alternatively:
4. The defendant shall pay the plaintiff the value of the 40 granite blocks calculated at the agreed rate of US$600.00 per cubic metre at an average of 7 cubic metres.
5. The defendant shall pay the plaintiff's costs of suit on an ordinary scale.

b) In respect of the defendant's Claim in Reconvention

1. The defendant's main claim is hereby dismissed for lack of merit.
2. The defendant's alternative claim succeeds, and the plaintiff shall pay the defendant's production costs in respect of the granite blocks that were awarded to the plaintiff calculated at the agreed rate of US$350.00 per cubic metre at an average of 7 cubic metres.
3. Each party shall bear its own costs of suit.

MUSITHU J: ……

Gill, Godlonton & Gerrans, plaintiff's legal practitioners
Wintertons, defendant's legal practitioners